Unfortunately, we won't know whether these are, in fact, serious worries until the system has been tested. The best hope is that the system faces shocks of increasing size, figures out what is lacking each time, and becomes more resilient. To paraphrase St Augustine, we should therefore pray: 'Lord, if there be shocks, let them first be small ones.' The danger is that the economy will be hit unexpectedly by a perfect storm before it has been stress-tested.

If indeed risk taking is excessive, why don't investors offer their managers compensation contracts that restrain the short-term emphasis on returns and associated risk taking? The answer is that there may be too little private incentive to do so. For one, there is very little systematic evidence that past performance in financial investment is an indicator of future performance, Warren Buffet or Peter Lynch notwithstanding. This implies that the constant movement by investors between funds has little social value. But investors in an individual fund benefit when new investments pour in because the fund's average costs go down. As a result, the private gains from attracting investors through a fund's superior short-term performance exceed the social value, and investors have too little incentive to restrain managers from focusing on the short term.

Of course, if in addition investors don't have complete control over managers – because of weaknesses in corporate governance, for example – and managers have private incentives to generate returns in the short term (to preserve their jobs or for the public adulation that success brings), the private equilibrium may again generate excessive risk taking. It's also hard for a private actor to fully capture the benefits of providing liquidity – if prices are higher and more closely reflect fundamentals, all those who trade will benefit, not just the actor who injected liquidity into the market. Therefore, the private sector has too little incentive to provision for it also.